OKLO INC.

NYSE: OKLO | Aurora sodium-cooled fast reactors it intends to own, selling the power | Santa Clara, California

Tommy Lau | 6 October 2026 | Initiation of coverage | Independent research

INITIATE AT SHORT	**Target price:** US$28.00	**Last price:** US$35.97 (NYSE close, 5 October 2026)	**Upside:** -22%

Oklo sells electricity it has not yet made. At US$36, the shares price a bigger fleet than all the customers it has announced.

Oklo designs Aurora, a 75 MW sodium-cooled fast reactor, and plans to own each plant and sell its power for decades. On 29 September I argued that the model stands or falls on building the first plant. The model has held, Groves went critical in August and Aurora-INL is targeted for 2028. But no customer has signed a binding power purchase agreement, and Oklo has not disclosed what a plant costs.

Shareholders pay for the build: US$1.85bn net in the first half and about US$320m more by 10 September, at prices that fell from US$97 to about US$44. On my base plant economics the price needs about 17 GW running by 2040, against 13.2 GW of announced customers.

My call: SHORT, low conviction, target US$28. The target is my probability-weighted value, US$28.43. My base case is worth US$13.51, down 62%, but it rests on a plant cost and a power price Oklo does not disclose. The bear case is US$9.87 (down 73%) and the bull case US$76.81 (up 114%), which is why conviction is low.

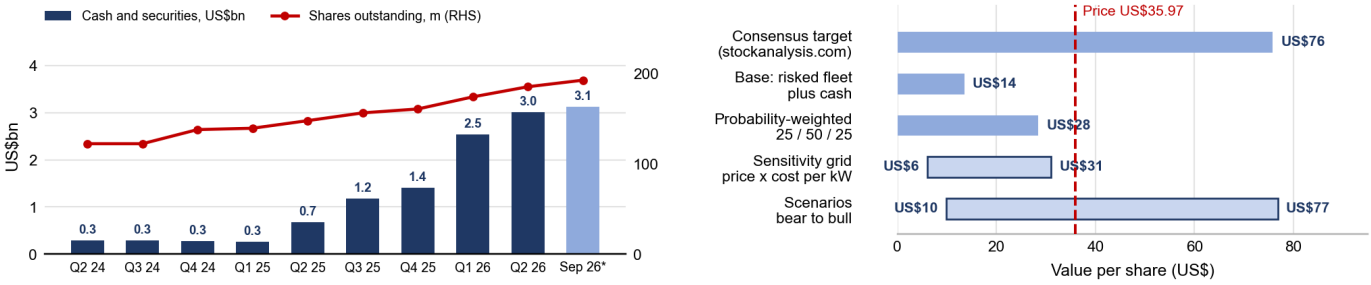
Stock data
LAST PRICE **US$35.97, NYSE close 5 October 2026; 52-week range US$34.38 to 193.84**
MARKET VALUE **About US$6.9bn on at least 192.3m shares (10 Sep 2026)**
CASH AND SECURITIES **US$3.01bn at 30 Jun 2026; my estimate US$3.12bn at 30 Sep; no debt to speak of**
ENTERPRISE VALUE **About US$3.8bn; market value 2.2x cash**
FULLY DILUTED SHARES **201.8m with 5.7m options and 3.7m share units**
2026 GUIDE (7 AUG) **Operating cash use US$120 to 150m; capital spending US$400 to 500m**
CONSENSUS **25 analysts, average target US$75.78 (stockanalysis.com); 2026 loss per share US$0.95; 18% of shares sold short**
BINDING PPAS **None on my reading of the filings. Switch 12 GW master agreement; Meta 1.2 GW prepayment agreement**
NEXT RESULTS **Q3 2026: date not yet announced; last year 11 Nov**

Key financials

US$ million unless stated	2024A	2025A	H1 2026A	2026 guide	2026E*	2027E*
Revenue	0	0	1.2		2.7 (cons.)	
Operating loss	52.8	139.3	124.2			
Net loss	73.6	105.7	81.6			
Operating cash use	38.4	82.2	65.5	120 to 150	140	170
Capital spending	0.4	33.2	126.9	400 to 500	450	550
Net proceeds from share sales	0	1,263.6	1,851.9		2,167	
Cash and securities, end	275.3	1,412.5	3,006.3		2,924	2,204
Shares outstanding, end (m)	137.7	160.5	185.1		192.3+	

**2026E and 2027E spending and cash are my own estimates; 2026E revenue is the stockanalysis.com consensus. 2026E cash adds the US$315m net raised from July to 10 September and excludes any sales under the US$1bn programme opened on 11 September. The guide was raised on 7 August from US$80 to 100m and US$350 to 450m. History from Oklo's 10-K and 10-Qs.*

Two charts: a cash pile built from shares, and a value below the price



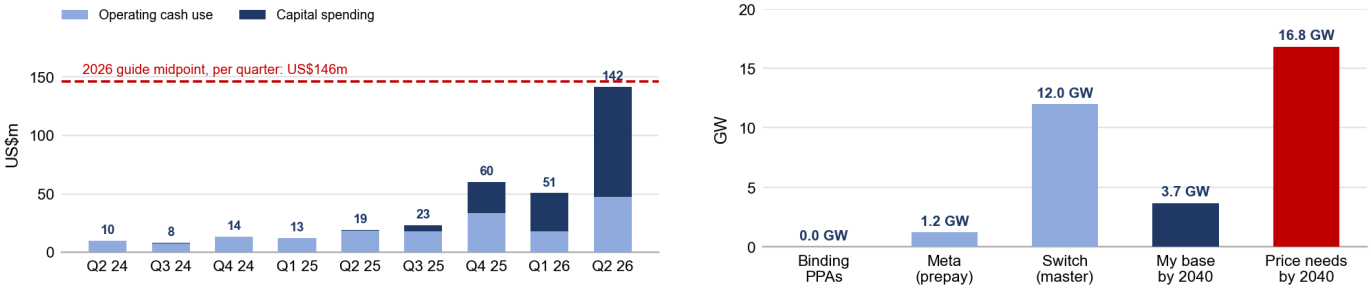
Left: cash and marketable securities at quarter end and shares outstanding; Sep 26 is my estimate. Right: value per share from my base case, the weighted cases, the sensitivity grid and the bear to bull range, against the US$35.97 price (red) and the stockanalysis.com average target, retrieved 6 October 2026.

The thesis: the coffee supplier before its first machine

Go back to the coffee supplier from the September piece. It installs the machine, keeps owning it and charges for every cup. Now picture it before it has installed one. It has letters from offices that like the idea, no agreed price per cup, no firm cost for its own machine, and it pays its bills by selling slices of the company.

That is Oklo today. Its 10-Q says the primary business model is to sell the energy, not the design. The 10-Q also says Oklo intends to offer customers "flexibility in business model" as the technology matures, and to raise capital at the corporate and asset levels. Neither is a reactor sale, so the first half of the claim stands. Oklo broke ground on Aurora-INL on 22 September 2025 under the Department of Energy, which approved its safety design agreement early in 2026 and its preliminary documented safety analysis on 11 June: two of five steps. Oklo then spoke of late 2027 or early 2028; it now targets 2028. Groves, its isotope test reactor in Texas, went critical on 5 August 2026.

What is missing is the money per plant. Oklo has not disclosed what Aurora-INL costs; in August the finance chief said the total was still being narrowed with Kiewit, the lead constructor. Nor has it disclosed a power price. The only customer cash on its 30 June balance sheet is a US$25m payment from 2024 for a right of first refusal. On my reading, no megawatt is under a binding PPA. The 10-K says many of Oklo's master power agreements and letters of intent are non-binding, and that it is negotiating binding PPAs; the 10-Q calls the 12 GW Switch agreement one of the largest corporate PPAs in history, but no filing calls it binding. Meta's prepayment agreement of 5 January 2026, for 1.2 GW in Ohio from as early as 2030 to 2034, is a mechanism to prepay for power; no amount is disclosed and it is not a PPA. Fuel beyond the first core rests on a Centrus letter of intent from 2029 and talks on surplus government plutonium.



Left: operating cash use plus capital spending by quarter, against the 2026 guide midpoint per quarter (Oklo 10-Qs and 10-K; quarters derived from year-to-date figures). Right: announced customer capacity by status (Oklo filings; Meta announcement of 9 January 2026), against my base fleet and the fleet the price needs at my base costs, by 2040.

Money raised and money kept

Cash and marketable securities stood at about US$3.0bn at 30 June. The balance sheet shows US$1,412.5m at 31 December 2025 and US$3,006.3m at 30 June 2026, a rise of about US$1.6bn. Oklo raised more than that: US$1,880m gross and US$1,852m net. The gap of about US$258m went out as US$65.5m of operating cash, US$126.9m of capital spending, US$25.7m on two acquisitions, US$16.5m of other investments and US$16.9m moved into restricted cash. Those add to about US$251.5m; most of the remaining US$7m is unrealised losses and accretion on the securities.

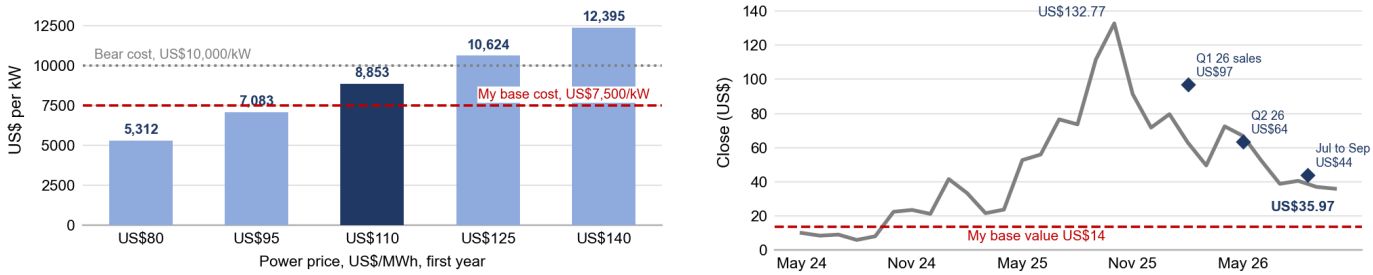
The bridge is built from the balance sheet and the cash flow statement. The gap between money raised and money kept is what Oklo spent running the business and building, US$126.9m of it on plant.

Variant perception: what the market prices in, and where I differ

At US$35.97 Oklo is worth about US$6.9bn, 2.2 times my estimate of its cash. Part of the 79% fall from the highest close is the group: NuScale fell 86% and NANO Nuclear 73% over the same year. Part is Oklo's funding. It sold shares at an average of US$96.95 in the first quarter, US$63.51 in the second and about US$44 from July to 10 September. On 11 September it opened another US$1bn programme, and the shares fell from US$39.88 to US$36.22. Shares outstanding are up 58% since June 2024.

What the price needs. On my base economics each Aurora earns about US$591k a megawatt in its first year and is worth about US$1.35m a megawatt more than it costs. To justify US$35.97, Oklo needs about 1.9 GW of new units a year from 2033 to 2040, about 17 GW running by 2040, against 3.7 GW in my base case and 13.2 GW of announced customers, none under a PPA. At my base fleet the price instead needs plants at about US$3,220 a kilowatt, against my US$7,500.

Where I differ. Not on the claim, but on what is already in the price. The market prices Oklo as if a margin per plant were known. The one recent Western small-reactor costing I can check is Ontario's: C$20.9bn for four 300 MW BWRX-300 units at Darlington, about C$17,400 a kilowatt, and C$25,700 for the first with shared costs. Oklo's design is simpler and smaller; my base already assumes well under half of that. Analysts are more positive: 25 have an average target of US$75.78.



Left: the cost per kW at which a 75 MW Aurora just earns back its cost, by first-year power price (my model: 90% capacity factor, US$35/MWh to run, 2% escalation, 40 years at 8%). Right: OKLO month-end close from listing in May 2024 to the 5 October 2026 close (Yahoo Finance, retrieved 6 October 2026), with the average prices of the 2026 share sales (10-Q; 8-K of 11 September 2026) and my base value.

Valuation, with the working

Oklo has no earnings, so I value it plant by plant, twelve months out. **One plant:** 75 MW at 90% of capacity, US$110/MWh, US$35/MWh to run including fuel and decommissioning, both rising 2% a year for 40 years, discounted at 8%: about US$8.85m a megawatt, less US$7,500/kW. Break-even is about US$8,853/kW. **The fleet:** Aurora-INL in mid-2028 with US$400m still to spend after September 2027; Meta's 1.2 GW from 2030 to 2034; and 300 MW a year more from 2033 to 2040. Each plant is discounted at 10% back to October 2027 and multiplied by a 60% chance that Aurora-INL reaches commercial operation on that timetable. **The company:** plus my cash at September 2027, US$2.38bn, less US$1.24bn of corporate, fuel, recycling and isotope spending in present value, over 201.8m diluted shares. No tax or tax credits.

Scenarios: three cases, twelve months out

Case	What happens	Price, cost	P(first plant)	Value	Change	Weight
Bear	Aurora-INL slips past 2029 and the numbers do not close; no fleet; spending winds down	US$95, US$10,000/kW	n/a	US$9.87	down 73%	25%
Base	Aurora-INL in 2028; Meta's 1.2 GW by 2034; 300 MW a year from 2033; 3.7 GW by 2040	US$110, US$7,500/kW	60%	US$13.51	down 62%	50%
Bull	Cheap plants; Switch and others contract 900 MW a year from 2033; 8.5 GW by 2040	US$125, US$6,000/kW	80%	US$76.81	up 114%	25%
Weighted	**25 / 50 / 25**			**US$28.43**	**down 21%**	

The bear case is close to cash: Oklo would still hold about US$11.81 a share in September 2027, which limits how far value falls in my three cases, though grid cells where new units do not pay go lower. The bull case needs 7.2 GW beyond Meta contracted, 60% of the Switch agreement.

Sensitivity: cost per kW against power price

Cost per kW	US$95/ MWh	US$110/ MWh	US$125/ MWh
US$6,000	US$11.72	US$21.38	US$31.04
US$7,500	US$6.04	**US$13.51**	US$23.17
US$10,000	US$6.04	US$6.41	US$10.05

None of the nine cells reaches the price; the highest, cheap plants and dear power together, gives US$31.04. Where new units do not pay, only Aurora-INL is built, so two cells share the same low value. What closes the gap to the price is scale, not margin. Every figure is live in the accompanying model.

Peer landscape: enterprise value per announced gigawatt

Company	Ticker	EV, US$bn	Announced GW	EV per GW, US$bn	What they make
Oklo	NYSE: OKLO	3.80	13.2	0.29	Aurora sodium-cooled fast reactors it intends to own; sells power
X-energy	Nasdaq: XE	4.25	5.0	0.85	Xe-100 gas-cooled reactors and TRISO fuel; Amazon up to 5 GW by 2039
NuScale	NYSE: SMR	2.23	6.0	0.37	77 MWe light-water modules (NRC approved May 2025); TVA and ENTRA1 up to 6 GW, non-binding
NANO Nuclear	Nasdaq: NNE	0.25	n/m	n/m	KRONOS microreactor and others; no gigawatt-scale agreement

Closes of 5 October 2026 (Yahoo Finance); peer shares and net cash from stockanalysis.com, retrieved 6 October 2026; Oklo on my share count and cash. Announced GW is customer capacity under agreements, none under a binding PPA. On this measure Oklo is the cheapest of the group. Multiples only; no view on the peers' shares.

Catalysts

When	Event	What I watch
Early to mid Nov 2026 (not yet announced)	Q3 2026 results	Spending against the guide; sales under the September programme; any Aurora-INL cost
Late 2026 to 2027	Remaining DOE steps for Aurora-INL	Three of five steps left; any change to the 2028 target
Any time	First binding PPA	Megawatts, price per MWh and term: replaces my two largest assumptions
Any time	Centrus definitive agreement; plutonium allocation	Firm fuel beyond the first core; fuel fabrication start-up in 2027

Risks: what would hurt the view

The first plant slips or costs more. The claim's own test: Aurora-INL has already moved to 2028, and Oklo raised its 2026 spending guide in August citing first-of-a-kind costs. **Dilution below value.** My base fleet needs about US$27bn of plant spending by 2040; if shareholders fund their part at prices below what the plants are worth, existing holders lose even if the plants work. **The contracts stay paper.** Twenty-two months after the Switch agreement, on my reading, no megawatt is under a binding PPA.

The risks to the short, and why conviction is low. The two decisive inputs are undisclosed, so my base case is an assumption stack. A binding PPA at a good price, a plutonium allocation or a low disclosed cost could each move the shares sharply, and 18% of them are already sold short. Oklo is also the cheapest of the group per announced gigawatt.

What would change my mind

Towards higher conviction: a disclosed Aurora-INL cost implying more than about US$10,000/kW, or another share sale below my weighted value. **Out of the short:** a binding PPA of 500 MW or more, a disclosed cost at or below about US$6,000/kW with an NRC licence application accepted for a commercial site, or a close above US$60. Below about US$14, my base value, the short has done its work and I would close it.

The short is wrong if, by October 2027, Oklo signs a binding power purchase agreement for 500 MW or more; or discloses an Aurora-INL cost at or below US$6,000/kW and the NRC accepts a licence application for a commercial site; or the shares close above US$60, on the path to my bull case.

Conclusion

The September piece argued that Oklo sells electricity, not reactors, and that the model stands or falls on building its first plant. Both halves hold: Oklo has kept to its model, broken ground in Idaho and taken Groves critical. But no customer has signed a binding contract, no plant cost has been disclosed, and shareholders are paying for the build. At US$35.97 the price needs about 17 GW running by 2040 at my base costs. My call: SHORT, low conviction, twelve-month target US$28, my probability-weighted value; base value US$13.51, range US$9.87 to US$76.81.

Appendix: valuation assumptions

Assumption	Bear	Base	Bull	Basis
Power price, US$/MWh, first year	95	110	125	Mine; Oklo has disclosed no price
Plant cost, US$/kW	10,000	7,500	6,000	Mine; Darlington about C$17,400/kW
P(Aurora-INL runs on time)	0%	60%	80%	Mine; Oklo targets 2028
Further units, MW a year 2033 to 2040	0	300	900	Mine; Switch 12 GW, not binding on my reading
Capacity factor; running cost		90%; US$35/MWh		Mine
Discount: plant; to Oct 2027		8%; 10%		Mine
Corporate spending from Oct 2027, US$m a year	150 x 3	250 x 4, 150 x 5	same	Mine; 2026 guide US$520 to 650m in all

Full workings, with live formulas, in the accompanying model, 2026-10-06_Oklo_Model.xlsx.

Sources

Oklo Form 10-Q for the quarter to 30 June 2026 (filed 7 August 2026) for the financial statements, share sales, acquisitions, the right of first refusal payment, customer agreements, the Meta prepayment agreement, the Centrus letter of intent, DOE and NRC status and Groves. Form 10-Q/A for Q1 2026 (17 June 2026; certification only). Form 10-K for 2025 (17 March 2026) for non-binding agreements and 2025 figures. Form 8-K and prospectus supplement of 11 September 2026 for the end of the May 2026 programme, the new US$1bn programme, options and share units. SEC XBRL company facts for quarterly history. Second quarter 2026 business update and call (7 August 2026). Oklo and Meta announcement (9 January 2026); Oklo groundbreaking (22 September 2025); Q3 2025 date notice (29 October 2025). OPG Darlington approval (8 May 2025). stockanalysis.com and Yahoo Finance, retrieved 6 October 2026. Estimates are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece of 29 September 2026, thephysicallayer.fyi/journal/oklo-sells-the-electricity; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in Oklo. Personal research, not investment advice.

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